CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. E2C8F1883
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
RELEASE IN PART

From: Mike McConnell <mike.mcconnell@enron.com>
Sent: Mon, 9 Apr 2001 05:27:00 -0700 (PDT)
To: Eric Gonzales <eric.gonzales@enron.com>
Subject: LNG's Role in North American & Caribbean Gas Supply

Eric,
What do you think?
m
---------- Forwarded by Mike McConnell/HOU/ECT on 04/09/2001 12:26 PM ----------

Bob Nimocks <BNimocks@ZeusDevelopment.com> on 03/20/2001 10:04:55 AM
To: "Mike McConnell (E-mail)" <Mike.Mcconnell@enron.com>
cc:
Subject: LNG's Role in North American & Caribbean Gas Supply

Mike:
Understand LNG continues to be an enigma cloaked in a mystery for Enron. We are continuing to expand our coverage and knowledge base of this marketplace, especially in the Western Hemisphere and would like to meet with you to discuss our observations and learn more about Enron's desires in this arena. Also, we have a meeting planned in D.C. in late June, entitled "LNG's Role in North American & Caribbean Gas Supply." With the U.S. hunger for gas and El Paso, AEC and other's announcements of new projects, the meeting should be constructive, especially with DOE and FERC involvement. See summary below. Let me know when you might be available to discuss the LNG marketplace.
We've just completed a white paper, entitled "Atlantic-Basin LNG: A Whirling Supply/Demand Balance." You may find our conclusions of interest.
Best regards,
Bob Nimocks
President
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TITLE: LNG's Role in North American & Caribbean Gas Supply
DATE/LOCATION: Washington D.C., June 27-29
SUMMARY: The winter of 2000/2001 confirmed the shift in the United States from a buyer's to a seller's market. Gas supplies for North America ran short

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as demand rose from colder weather, higher electricity demand and shortages in storage from the previous year. More and more supply is shifting from the U.S. Gulf Coast to Western Canada as offshore exploration in the Gulf of Mexico has proven disappointing. U.S. demand for power generation is expected to keep gas demand high through the summer of 2001, siphoning off gas that would have been destined for storage.

Meanwhile during the long gas bubble of the 1980s, drilling rigs and experienced field personnel dwindled from thousands to several hundred. The current rig count for North American gas exploration and production is near full capacity at just over 600 rigs, so the industry is constrained on how quickly it can recover.

The U.S. has not experienced shortages of natural gas like this since the 1970s and early 1980s when it was feared that the nation would run out of gas in 10 years. Four LNG import terminals were built to supply natural gas from North Africa (Algeria). These terminals are capable of supplying up to 5% of total U.S. gas consumption (about one trillion cubic feet per year). Plans are underway to have all four terminals fully operational by the end of 2002; however, more are needed.

Conventional wisdom is that no new terminals would be built in the United States due to EPA laws and local citizen protests to any facility perceived to be unsightly or dangerous. Now, El Paso (a company that was burned by Congress in the 1980s by the ruling that take-or-pay LNG contracts with Algeria were invalid) is challenging conventional wisdom. They have announced plans for six new terminals to be built in North America: three in the United States and three in Mexico. New LNG plants in Venezuela, Algeria and Northern Australia might supply these terminals.

Other companies, such as Enron and AEC, have announced plans to build terminals in the Caribbean to supply gas to independent power production (IPP) plants ranging from 400 to 1000 megawatts. Moreover, LNG facilities on Caribbean Islands close to Florida might export gas or electricity via undersea pipeline and cable. Floating offshore LNG terminals may also offer a means to bring LNG into the United States with less environmental and community concern.

The June 27-29 conference, entitled "LNG's Role in North American & Caribbean Gas Supply," will cover the dynamics that are leading to North American gas supply shortages, how long they are expected to last, and what source of natural gas are available from conventional sources to meet demand. The conference will then focus on opportunities for LNG, including the capacities and timing of current terminals, the prospects for new mainland and offshore terminals, and the opportunity for broader terminal networks in the Caribbean, including those facilities that might supply gas or electricity to the United States.

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